najbliżej Ciebie

Quarterly Report of the Dino Polska S.A. Group for Q1 2019

Dino Polska Spółka Akcyjna ("Dino", "Company", "parent company")
Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company's share capital as at 31 March 2019 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document ("Q1 2019 Report", "Report") comprises the condensed quarterly consolidated financial statements (unaudited) of the Dino Polska S.A. Group ("Group", "Dino Group") for Q1 2019 ("Financial Statements"), the Company's condensed financial information and additional information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from the Dino Group. This document was prepared on 9 May 2019 ("Report Date").

Unofficial translation. Only the original Polish text is binding.

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1. DINO POLSKA GROUP'S FINANCIAL HIGHLIGHTS

	PLN 000s		EUR 000s*	
	from 1 January 2019 to 31 March 2019	*from 1 January 2018 to 31 March 2018*	*from 1 January 2019 to 31 March 2019*	*from 1 January 2018 to 31 March 2018*
Sales revenues	1,560,476	1,271,308	363,087	304,257
Operating profit	94,617	79,266	22,015	18,970
Profit before tax	82,350	69,289	19,161	16,583
Net profit	66,965	55,948	15,581	13,390
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	0.68	0.57	0.16	0.14
Cash flow from operating activities	28,701	43,515	6,678	10,414
Cash flow from investing activities	(241,157)	(118,310)	(56,112)	(28,315)
Cash flow from financing activities	120,162	50,196	27,959	12,013
Net change in cash and cash equivalents	(92,294)	(24,599)	(21,475)	(5,887)

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:
- average NBP exchange rate for Q1 2019: 4.2978
- average NBP exchange rate for Q1 2018: 4.1784

	PLN 000s		EUR 000s*	
	as at 31 March 2019	*as at 31 December 2018*	*as at 31 March 2019*	*as at 31 December 2018*
Total assets	3,447,581	3,287,690	801,521	764,579
Total non-current assets	2,685,720	2,458,378	624,397	571,716
Total current assets	761,861	829,312	177,123	192,863
Equity	1,278,838	1,211,873	297,314	281,831
Share capital	9,804	9,804	2,279	2,280
Non-current liabilities	869,790	693,176	202,216	161,204
Current liabilities	1,298,953	1,382,641	301,991	321,544

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:
- NBP's average exchange rate as at 31 March 2019: 4.3013
- NBP's average exchange rate as at 31 December 2018: 4.3000

2. Activity Report of the Dino Polska Group

2.1. Operations of the Dino Polska Group

2.1.1. Business profile

Dino is a Polish network consisting of medium-sized grocery supermarkets located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

Dino Polska's business model combines the advantages of the format provided to customers by medium-sized stores situated in convenient locations, in most cases close to their places of residence or featuring much more traffic, with the ability to open new stores quickly and an attractive product range, comprising primarily branded and fresh products at competitive prices.

As at 31 March 2019, the Dino network consisted of 1,009 stores with a total selling area of 388.96 thousand square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 480, i.e. 91.0%, in the period of three years up to 31 March 2019. Its network expansion has been accompanied by significant like for like (LFL) revenue growth in its current store network, which in Q1 2019 stood at 5.0% despite unfavorable calendar-related effects. Dino Polska continues to develop its network, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week (except for Sundays). Most stores have a sales floor area of approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

Dino Polska's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on four distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They enable Dino to make purchases on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, consistently enhance Dino Polska's profitability.

Dino Polska strategy assumes further growth through focus on three key areas:

- <u>continuation of rapid organic growth in the number of stores</u> – under the 2017-2020 strategy crafted in 2016 the Dino Polska Management Board intends to increase the number of its stores from 557 at the end of June 2016 to more than 1,200 open stores by the end of 2020. The Dino Group has consistently pursued this objective by opening 123 new stores in 2016, 147 in 2017 and 202 in 2018, increasing the selling area by 24.4%, 23.8% and 27.3%, respectively. In 2019 the Company's Management Board plans to open no fewer stores than in 2018. Dino Polska's Management Board's intention is to maintain the high pace of growth of the selling area in Dino stores in subsequent years, too. Considering the relatively small share of the Dino network in the value of the retail grocery market in Poland, the Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions.

- <u>continuing to grow LFL sales revenues in the current store network</u> – to continue growing LFL sales revenues in the existing store network the Dino Polska will take actions to augment customer traffic in Dino stores and the basket value per customer. The Company intends to continue an active product range policy, providing for constant adaptation of the Dino stores' offering to customer expectations, which will evolve together with consumers' increasing disposable income.

- consistent improvement of profitability – in past years the Dino Polska generated sustainable growth in terms of its gross margin and EBITDA margin. The aim is to continue to improve profitability thanks to increasing scale of operations, favorable business model and strategic initiatives undertaken by Dino Polska.

2.1.2. Recap of the Dino Group's operations in Q1 2019[1]

In Q1 2019, the Dino Group's revenue totaled PLN 1,560.5 million and was PLN 289.2 million, i.e. 22.7% higher than in Q1 2018. Concurrently, the cost of sales rose 20.9% to PLN 1,177.0 million.

The table below presents selected line items from the consolidated statement of profit or loss

(PLN 000s)	Q1 2019	Q1 2018	change
Sales revenues	**1,560,476**	**1,271,308**	**22.7%**
Cost of sales	(1,177,029)	(973,843)	20.9%
Gross profit on sales	**383,447**	**297,465**	**28.9%**
Other operating income	1,274	1,394	-8.6%
Sales and marketing expenses	(273,190)	(206,280)	32.4%
General administration expenses	(15,180)	(12,921)	17.5%
Other operating expenses	(1,734)	(392)	342.4%
Operating profit	**94,617**	**79,266**	**19.4%**
Financial income	71	162	-57.3%
Financial expenses	(12,338)	(10,139)	21.7%
Profit before tax	**82,350**	**69,289**	**18.8%**
Income tax	(15,385)	(13,341)	15.3%
Net profit	**66,965**	**55,948**	**19.7%**

Profit measured by EBITDA grew year on year by 26.5% to PLN 132.0 million. The EBITDA margin was 8.5%, i.e. 0.3 percentage points above Q1 2018.

The following table presents the EBITDA result.

(PLN 000s)	Q1 2019	Q1 2018	change
Net profit	**66,965**	**55,948**	**19.7%**
Income tax	-15,385	-13,341	15.3%
Result on financing activity	-12,267	-9,977	23.0%
Depreciation and amortization	37,398	25,106	49.0%
EBITDA	**132,015**	**104,372**	**26.5%**
EBITDA margin	8.5%	8.2%	-

Sales revenues

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in the current store network (like for like, LfL)[2]. LfL sales growth in Q1 2019 was 5.0%, compared to the corresponding period of 2018, while in Q1 2018 it was 20.3%. The major drivers contributing to the difference in the level of LfL sales in Q1 2019 and 2018 were as follows: i) the movement in the timing of the Easter Holiday from Q1 2018 to Q2 2019, a period of intensive grocery shopping precedes this period and ii) 7 fewer trading days (8%) in Q1 2019 versus Q1 2018.

[1]financial results are presented: (i) under IFRS 16 – *see section 5.4 Impact exerted by the IFRS 16 standard, (ii) transformation of comparable data – see section 5.5 Other information – Correction of errors of previous periods*

[2] *stores are included in the calculation of LfL revenues starting from the 13th full month of their existence*

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	Q1 2019	Q1 2018	2018	2017	2016
Inflation (deflation)..........	1.2	1.5	1.6	2.0	(0.6)
Food price inflation..........	1.8	3.9	2.6	4.6	0.8
Dino's LfL.......................	**5.0**	**20.3**	**11.6**	**16.2**	**11.3**

Fresh products, including meat, cold cuts and poultry accounted for 39.3% of the Group's sales in Q1 2019, thereby signifying growth of 0.6 percentage points in comparison with the corresponding period of 2018.

The table below shows the structure of sales revenues by product in individual periods.

%	**Q1 2019**	**Q1 2018**
Fresh products	39.3	38.7
Dry grocery products, beverages, alcohol and cigarettes.	48.9	49.7
Non-grocery products...	11.8	11.6

Dino store network roll-out

In Q1 2019, 33 new Dino stores were launched, 8 more than last year. As at 31 March 2019, the Dino network consisted of 1,009 stores with a total selling area of 389.0 thousand square meters – 27.4% more than last year.

The following table presents information on the Dino Group's number of stores as at specified dates.

	Number of stores as at 31 March		**Number of stores as at 31 December**		
	2019	**2018**	**2018**	**2017**	**2016**
Number of new store openings in the quarter / year..........	33	25	202	147	123
Total number of stores..	1009	800	977	775	628
Total selling area (m^2)	388,962	305,359	375,715	295,226	238,416

Cost of sales

The cost of sales was 75.4% and 76.6% of revenue, respectively in Q1 2019 and Q1 2018. The cost of sales rose PLN 203.2 million, i.e. by 20.9% to PLN 1,177.0 million in Q1 2019 compared to PLN 973.8 million in Q1 2018, with a 22.7% increase of revenue. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino Group's store network and rising sales in the current store network (LfL).

Sales and marketing expenses

Sales and marketing expenses grew by PLN 66.9 million, i.e. 32.4% to PLN 273.2 million in Q1 2019 compared to PLN 206.3 million in Q1 2018. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LfL sales in the current store network, thereby necessitating higher costs associated with store upkeep and storage of merchandise. The ratio of sales and marketing expenses to revenue in Q1 2019 was 17.5%.

General administration expenses

General administration expenses rose PLN 2.3 million, or 17.5%, to PLN 15.2 million in Q1 2019 compared to PLN 12.9 million in Q1 2018. This was caused mainly by the expansion of the Dino Group's store network (some administrative functions expanded in line with the Dino Group's store network's rollout). The ratio of general administration expenses to revenue in Q1 2019 was 1.0%.

Costs by nature

The following table presents costs by nature.

(PLN 000s)	**Q1 2019**	**Q1 2018**	**change**
Depreciation and amortization	37,398	25,106	49.0%
Consumption of materials and energy	127,882	112,827	13.3%
External services	64,678	51,978	24.4%
Taxes and fees	9,377	7,530	24.5%
Employee benefits	188,467	142,142	32.6%
Other costs by nature	5,881	3,386	73.7%
Cost of goods and materials sold	1,033,482	849,960	21.6%
Total costs by nature, including:	**1,467,165**	**1,192,929**	**23.0%**
Items captured in cost of sales	1,177,029	973,843	20.9%
Items captured in sales and marketing expenses	273,190	206,280	32.4%
Items captured in general administration expenses	15,180	12,921	17.5%
Movement in products	1,766	(115)	-

Total costs by nature increased by PLN 274.2 million, or 23.0%, to PLN 1,467.2 million in Q1 2019, compared to PLN 1,192.9 million in Q1 2018, mainly as a result of higher: (i) cost of merchandise and materials sold (by PLN 183.5 million), (ii) costs of employee benefits (by PLN 46.3 million), (iii) consumption of materials and energy (by PLN 15.1 million) and (iv) external services (by PLN 12.7 million). This growth was caused mainly by the expansion of the Dino Group's store network and rising sales in the current store network (LfL).

The costs of employee benefits rose PLN 46.3 million, i.e. 32.6% to PLN 188.5 million in Q1 2019 compared to PLN 142.1 million in Q1 2018. This growth resulted primarily from the number of Dino Group employees rising from 13,696 as at 31 March 2018 to 17,372 as at 31 March 2019 in connection with the Dino Group's expanding business size and the related expansion of the Dino Group's store network and rising LfL sales in the current store network and from the higher average salary in the Dino Group.

Consumption of materials and energy increased by PLN 15.1 million, or 13,3% to PLN 127.9 million in Q1 2019 compared to PLN 112.8 million in Q1 2018. This growth was caused mainly by higher consumption of materials and raw materials in connection with the Dino Group's expanding business size and the expansion of the Dino Group's store network and rising LfL sales in the current store network.

External services, which comprised in particular transportation and maintenance services, increased by PLN 12.7 million, or 24.4%, to PLN 64.7 million in Q1 2019 compared to PLN 52.0 million in Q1 2018. This growth was caused mainly by the Dino Group's growing business size and the related expansion of the Dino Group's store network and rising LfL sales in the current store network.

Financial expenses

The Dino Group's financial expenses rose PLN 2.2 million, or 21.7%, to PLN 12.3 million in Q1 2019 compared to PLN 10.1 million in Q1 2018. This growth was caused mainly by the higher amount of interest on loans and borrowings as a result of the Group's growing business and the related expansion of the Dino Group's store network and rising LfL sales in the current store network.

Balance sheet – assets

The table below presents selected line items of the consolidated statement of financial position.

(PLN 000s)	**31.03.2019**	**31.12.2018**	**31.03.2018**	**Change 31 March 2019 / 31 December 2018**	**Change 31 March 2019 / 31 March 2018**
Property, plant and equipment	2,570,494	2,347,025	1,787,708	9.5%	43.8%
Intangible assets	98,568	95,024	92,771	3.7%	6.2%
Deferred tax assets	16,638	16,307	14,600	2.0%	14.0%
Total non-current assets	**2,685,720**	**2,458,378**	**1,895,107**	**9.2%**	**41.7%**
Inventories	451,458	445,357	351,510	1.4%	28.4%
Trade and other receivables	18,906	22,111	20,677	-14.5%	-8.6%
Income tax receivables	0	0	96	-	-100.0%
Other non-financial assets	98,430	76,483	44,363	28.7%	121.9%
Cash and cash equivalents	193,067	285,361	178,027	-32.3%	8.4%
Total current assets	**761,861**	**829,312**	**594,673**	**-8.1%**	**28.1%**
TOTAL ASSETS	**3,447,581**	**3,287,690**	**2,489,780**	**4.9%**	**38.5%**

Total assets increased by PLN 159.9 million, i.e. 4.9%, from PLN 3,287.7 million as at 31 December 2018 to PLN 3,447.6 million as at 31 March 2019. Compared to 31 March 2018, total assets rose by PLN 957.8 million, or 38.5%.

As at 31 March 2019, the main components of total assets were: (i) property, plant and equipment (constituting 74.6%), (ii) inventories (constituting 13.1%) and (iii) cash and cash equivalents (constituting 5.6%).

Non-current assets rose by PLN 227.3 million, i.e. 9.2%, from PLN 2,458.4 million as at 31 December 2018 to PLN 2,685.7 million as at 31 March 2019. Compared to 31 March 2018, non-current assets rose by PLN 790.6 million, or 41.7%. In both cases this growth was caused by higher property, plant and equipment which, in turn, was caused primarily by the Dino Group’s network rollout (new Dino stores) and capital expenditures. Moreover, the opening of the new distribution center in Rzeszotary close to Legnica in 2018 contributed to the pace of growth in non-current assets year on year.

Current assets fell by PLN 67.5 million, or 8.1% from PLN 829.3 million as at 31 December 2018 to PLN 761.9 million as at 31 March 2019. This decline was caused by the balance of cash and cash equivalents being down PLN 92.3 million, which was partially offset by the growth in other non-financial assets (PLN 21.9 million).

Compared to 31 March 2018, current assets rose by PLN 167.2 million, i.e. 28.1% primarily as a result of higher: (i) inventory (up PLN 99.9 million), which was caused mainly by the Dino Group’s expanding business size ensuing from new store rollout, (ii) other non-financial assets (up PLN 54.1 million) and (iii) cash and cash equivalents (up PLN 15.0 million).

Balance sheet – liabilities and equity

The table below presents selected line items of the consolidated statement of financial position.

(PLN 000s)	**31.03.2019**	**31.12.2018**	**31.03.2018**	**Change 31 March 2019 / 31 December 2018**	**Change 31 March 2019 / 31 March 2018**
Equity	**1,278,838**	**1,211,873**	**960,441**	**5.5%**	**33.2%**
Share capital	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	1,307,273	1,307,273	1,111,860	0.0%	17.6%
Retained earnings	-45,739	-112,704	-168,723	-59,4%	-72,9%
Other equity	7,500	7,500	7,500	0,0%	0,0%
Total equity	**1,278,838**	**1,211,873**	**960,441**	**5.5%**	**33.2%**
				-	-
Interest-bearing loans and borrowings and finance lease liabilities	752,289	585,328	502,729	28.5%	49.6%
Other liabilities	240	240	240	0.0%	0.0%
Liabilities by virtue of outstanding securities	99,853	99,829	99,770	0.0%	0.1%
Provisions for employee benefits	1,550	1,550	1,230	0.0%	26.0%
Deferred tax liability	15,612	5,923	7,138	163.6%	118.7%
Accruals and deferred revenue	246	306	487	-19.7%	-49.5%
Total non-current liabilities	**869,790**	**693,176**	**611,594**	**25.5%**	**42.2%**
Trade and other payables	1,022,774	1,141,934	727,035	-10.4%	40.7%
Current part of interest-bearing loans and borrowings and finance lease liabilities	186,094	148,676	145,295	25.2%	28.1%
Liabilities by virtue of outstanding securities	636	654	637	-2.6%	0.0%
Income tax liabilities	61,969	67,004	20,161	-7.5%	207.4%
Accruals and deferred revenue	26,939	23,832	24,266	13.0%	11.0%
Provisions for employee benefits and other provisions	541	541	351	0.0%	54.0%
Total current liabilities	**1,298,953**	**1,382,641**	**917,745**	**-6.1%**	**41.5%**
Total liabilities	**2,168,743**	**2,075,818**	**1,529,339**	**4.5%**	**41.8%**
TOTAL EQUITY AND LIABILITIES	**3,447,581**	**3,287,690**	**2,489,780**	**4.9%**	**38.5%**

As at 31 March 2019, the main components of liabilities were: (i) trade and other payables (current part) representing 47.2%; (ii) interest bearing loans, borrowings and liabilities under financial lease agreements (non-current portion) representing 34.7% of total liabilities and (iii) current part of interest-bearing loans and liabilities under financial lease agreements representing 8.6%.

Total liabilities rose PLN 92.9 million, i.e. 4.5%, from PLN 2,075.8 million as at 31 December 2018 to PLN 2,168.7 million as at 31 March 2019. Total liabilities rose PLN 639.4 million, i.e. 41.8% from PLN 1,529.3 million as at 31 March 2018 to PLN 2,168.7 million as at 31 March 2019.

Non-current liabilities increased by PLN 176.7 million, or 25.5% from PLN 693.2 million as at 31 December 2018 to PLN 869.9 million as at 31 March 2019, predominantly as a result of higher interest-bearing loans and borrowings (by PLN 167.1 million) caused by the expansion of the Dino Group's store network.

Compared to 31 March 2018, non-current liabilities rose PLN 258.3 million, or 42.2% mainly due to the expansion of the Dino Group's store network and capital expenditures for distribution centers.

Current liabilities decreased by PLN 83.7 million, or 6.1%, from PLN 1,382.6 million as at 31 December 2018 to PLN 1,299.0 million, primarily as a result of a decrease in trade and other payables.

Compared to 31 March 2018, current liabilities increased by PLN 381.2 million, or 41.5% driven predominantly by an increase in trade and other payables (by PLN 295.7 million mainly as a result of the expansion of the Dino Group's scale of business).

The Dino Group's net debt[3] stood at PLN 845.8 million as at 31 March 2019, signifying growth of PLN 296.7 million compared to 31 December 2018 and growth of PLN 275.4 million compared to 31 March 2018. The implementation of IFRS16 at the beginning of 2019 and the associated change of leases measurement and presentation increased the Dino Groups net debt by PLN 60.9 million in Q1 2019. The net debt to EBITDA ratio for the last 12 months was 1.5x as at 31 March 2019.

Cash flows

The table below presents selected line items of the statement of cash flows.

(PLN 000s)	**Q1 2019**	**Q1 2018**	**change**
Net cash from operating activities, including:	28,701	43,515	-34.0%
profit before tax	82,350	69,289	18.8%
depreciation and amortization	37,398	25,106	49.0%
movement in working capital	(81,619)	(47,319)	72.5%
other	(9,428)	(3,561)	164.7%
Net cash from investing activities	(241,156)	(118,310)	103.8%
Net cash from financing activities	120,162	50,196	139.4%
Net increase in cash and cash equivalents	(92,294)	(24,599)	275.2%

The Dino Group generated net operating cash flow in Q1 2019 totaling PLN 28.7 million. In Q1 2018 it was PLN 43.5 million. The decrease in net cash from operating activities was driven mainly by the lower level of net working capital in conjunction, among other things, with calendar effects and the movement in the timing of the Easter Holidays from Q1 2018 to Q2 2019.

Net cash flow from investing activities was negative and totaled PLN 241.2 million in Q1 2019 while in Q1 2018 it was PLN 118.3 million. This was mostly caused by the continued expansion of the Dino store network.

2.1.3. Factors impacting Dino's operations and results

In the opinion of the Dino Management Board, the following factors will affect the Dino Group's business in the upcoming quarters of 2019:

- pace of new store openings by the Dino Group and the related capital expenditures,
- favorable economic situation in Poland resulting in increasing disposable income and consumption expenditures of customers;
- growth rate of the prices of consumer goods and services, in particular food and soft drinks,
- regulatory environment: government programs translating into incremental consumer disposable income and the gradual deployment of the Sunday trading ban;
- improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses; improved efficiency of logistics services provided to all stores,
- decreasing unemployment and unstable and uncertain situation in the labor market in individual regions.

Due to uncertainty about the future state of the economy, the Management Board's expectations and projections are subject to a high dose of uncertainty.

[3] *defined as interest-bearing loans and borrowings and liabilities under financial lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and finance lease liabilities minus cash and cash equivalents.*

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino Polska shares.

Shareholding structure of Dino Polska S.A. as at the Report Date

	Number of shares and number of votes at the Shareholder Meeting	Share in the share capital and in votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary[4]	50,103,000	51.10%
Other shareholders	47,937,000	48.90%

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

At the Report Date, Szymon Piduch, President of the Management Board, held 141,000 shares. Compared to 31 December 2018 and the publication date of the 2018 annual report, the number of shares held by Szymon Piduch has not changed. Michał Krauze, a Management Board Member, held 30,000 Company shares as at the Report Date. Compared to 31 December 2018 and the publication date of the 2018 annual report, the number of shares held by Michał Krauze has not changed. Jakub Macuga, a Management Board Member, held 850 Company shares as at the Report Date. Compared to 31 December 2018 and the publication date of the 2018 annual report, the number of shares held by Jakub Macuga has not changed.

Among the Supervisory Board members, as at the Report Date Dino the following members held shares: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above and Eryk Bajer (Supervisory Board Member) – 19,900 shares and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares.

2.3. Operating Segments

The Dino Polska S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network.

Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the Dino Polska S.A. Group as a whole, only one operating segment has been isolated.

(PLN 000s)	**Q1 2019**	**Q1 2018**
Revenue on sales of products and services	184,830	158,046
Revenue on sales of goods and materials	1,375,646	1,113,262
Total:	**1,560,476**	**1,271,308**

[4] *BT Kapitał Sp. z o.o., a subsidiary of Tomasz Biernacki, holds a total of 103 thousand Company shares*

3. Condensed consolidated financial statements of the Dino Polska S.A. Group

3.1. Condensed consolidated statement of profit or loss

for the period from 1 January 2019 to 31 March 2019 (PLN 000s)

	01.01.2019-31.03.2019	*01.01.2018-31.03.2018**
Continuing operations		
Sales revenues	**1,560,476**	**1,271,308**
Cost of sales	(1,177,029)	(973,843)
Gross profit on sales	**383,447**	**297,465**
Other operating income	1,274	1,394
Sales and marketing expenses	(273,190)	(206,280)
General administration expenses	(15,180)	(12,921)
Other operating expenses	(1,734)	(392)
Operating profit	**94,617**	**79,266**
Financial income	71	162
Financial expenses	(12,338)	(10,139)
Profit before tax	**82,350**	**69,289**
Income tax	(15,385)	(13,341)
Net profit from continuing operations	**66,965**	**55,948**
Net profit for the reporting period	**66,965**	**55,948**

**restated data*

3.2. Condensed consolidated statement of comprehensive income

for the period from 1 January 2019 to 31 March 2019 (PLN 000s)

	01.01.2019-31.03.2019	*01.01.2018-31.03.2018**
Net profit for the reporting period	**66,965**	**55,948**
Items not subject to reclassification to profit in subsequent reporting periods:		
Actuarial gains/(losses) on defined benefit plans	-	-
Income tax on other comprehensive income	-	-
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	-	-
Net other comprehensive income	-	-
Comprehensive income in the reporting period	**66,965**	**55,948**

**restated data*

3.3. Condensed consolidated statement of financial position

as at 31 March 2019 (PLN 000s)

	31.03.2019	*31.12.2018*	*31.03.2018*
ASSETS			
Property, plant and equipment	2,570,494	2,347,025	1,787,708
Intangible assets	98,568	95,024	92,771
Other non-financial assets (non-current)	20	22	28
Deferred tax assets	16,638	16,307	14,600
Total non-current assets	**2,685,720**	**2,458,378**	**1,895,107**
Inventories	451,458	445,357	351,510
Trade and other receivables	18,906	22,111	20,677
Income tax receivables	-	-	96
Other non-financial assets	98,430	76,483	44,363
Cash and cash equivalents	193,067	285,361	178,027
Total current assets	**761,861**	**829,312**	**594,673**
TOTAL ASSETS	**3,447,581**	**3,287,690**	**2,489,780**
EQUITY AND LIABILITIES			
Equity (attributable to owners of the parent)	**1,278,838**	**1,211,873**	**960,441**
Share capital	9,804	9,804	9,804
Supplementary capital	1,307,273	1,307,273	1,111,860
Retained earnings	(45,739)	(112,704)	(168,723)
Other equity	7,500	7,500	7,500
Non-controlling interests	-	-	-
Total equity	**1,278,838**	**1,211,873**	**960,441**
Interest-bearing loans and borrowings and finance lease liabilities	752,289	585,328	502,729
Liabilities by virtue of outstanding securities	99,853	99,829	99,770
Other liabilities	240	240	240
Provisions for employee benefits	1,550	1,550	1,230
Deferred tax liability	15,612	5,923	7,138
Accruals and deferred revenue	246	306	487
Total non-current liabilities	**869,790**	**693,176**	**611,594**
Trade and other payables	1,022,774	1,141,934	727,035
Current part of interest-bearing loans and borrowings and finance lease liabilities	186,094	148,676	145,295
Liabilities by virtue of outstanding securities	636	654	637
Income tax liabilities	61,969	67,004	20,161
Accruals and deferred revenue	26,939	23,832	24,266
Provisions for employee benefits	541	541	351
Total current liabilities	**1,298,953**	**1,382,641**	**917,745**
Total liabilities	**2,168,743**	**2,075,817**	**1,529,339**
TOTAL EQUITY AND LIABILITIES	**3,447,581**	**3,287,690**	**2,489,780**

3.4. Condensed consolidated statement of cash flows

for the period from 1 January 2019 to 31 March 2019 (PLN 000s)

	01.01.2019-31.03.2019	*01.01.2018-31.03.2018*
Cash flow from operating activities		
Profit before tax	*82,350*	*69,289*
Adjustments for the line items:	*(53,649)*	*(25,774)*
Depreciation and amortization	37,398	25,106
(Profit)/loss on investment activity	929	264
Movement in receivables	(3,803)	16,674
Movement in inventories	(6,101)	16,752
Movement in liabilities, except for loans and borrowings	(71,715)	(80,745)
Interest revenue	(69)	(57)
Interest expense	12,326	10,074
Movement in prepayments, accruals and deferred revenue	(11,551)	(6,515)
Income tax paid	(11,063)	(7,327)
Net cash from operating activities	**28,701**	**43,515**
Cash flow from investing activities		
Sale of items of property, plant and equipment and intangible assets	440	656
Purchase of items of property, plant and equipment and intangible assets	(241,666)	(119,023)
Interest received	69	57
Net cash from investing activities	**(241,157)**	**(118,310)**
Cash flow from financing activities		
Payment of finance lease liabilities	(11,891)	(11,169)
Proceeds from obtained loans/borrowings	206,549	89,650
Repayment of loans/borrowings	(62,814)	(18,211)
Interest paid	(11,682)	(10,074)
Net cash from financing activities	**120,162**	**50,196**
Net increase in cash and cash equivalents	(92,294)	(24,599)
Cash at the beginning of the period	**285,361**	**202,626**
Cash at the end of the period	**193,067**	**178,027**

3.5. Condensed consolidated statement of changes in equity

for the period from 1 January 2019 to 31 March 2019 (PLN 000s)

	Attributable to owners of the parent				
	Share capital	*Supplementary capital*	*Retained earnings*	*Other equity*	*Total*
As at 1 January 2019	**9,804**	**1,307,273**	**(112,704)**	**7,500**	**1,211,873**
Net profit for 2019	-	-	66,965	-	66,965
Comprehensive income for the year	-	-	*66,965*	-	*66,965*
As at 31 March 2019	**9,804**	**1,307,273**	**(45,739)**	**7,500**	**1,278,838**
As at 1 January 2018	**9,804**	**1,111,860**	**(224,671)**	**7,500**	**904,493**
Net profit for 2018	-	-	307,554	-	307,554
Net other comprehensive income for 2018	-	-	(174)	-	(174)
Comprehensive income for the year	-	-	*307,380*	-	307,380
Distribution of the financial result for 2017	-	195,413	(195,413)	-	-
As at 31 December 2018	**9,804**	**1,307,273**	**(112,704)**	**7,500**	**1,211,873**
As at 1 January 2018	**9,804**	**1,111,860**	**(224,671)**	**7,500**	**904,493**
Net profit for 2018	-	-	55,948	-	55,948
Comprehensive income for the year	-	-	*55,948*	-	*55,948*
As at 31 March 2018	**9,804**	**1,111,860**	**(168,723)**	**7,500**	**960,441**

4. Condensed standalone financial statements of Dino Polska S.A.

4.1. Selected standalone financial data

	PLN 000s		EUR 000s*	
	from 1 January 2019 to 31 March 2019	*from 1 January 2018 to 31 March 2018*	*from 1 January 2019 to 31 March 2019*	*from 1 January 2018 to 31 March 2018*
Sales revenues	1,556,956	1,267,602	362,265	303,370
Operating profit	64,935	48,737	15,109	11,664
Profit before tax	54,279	38,931	12,629	9,317
Net profit	43,922	33,565	10,220	8,033
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	0.45	0.34	0.10	0.08
Cash flow from operating activities	(20,263)	30,152	(4,715)	7,216
Cash flow from investing activities	(159,001)	(103,265)	(36,996)	(24,714)
Cash flow from financing activities	62,530	46,609	14,549	11,155
Net change in cash and cash equivalents	(116,734)	(26,504)	(27,161)	(6,343)

In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:
- average NBP exchange rate for Q1 2019: 4.2978
- average NBP exchange rate for Q1 2018: 4.1784

	PLN 000s		EUR 000s*	
	as at 31 March 2019	*as at 31 December 2018*	*as at 31 March 2019*	*as at 31 December 2018*
Total assets	3,006,647	2,979,895	699,009	692,999
Total non-current assets	2,162,053	2,031,010	502,651	472,328
Total current assets	844,594	948,885	196,358	220,671
Equity	973,892	929,970	226,418	216,272
Share capital	9,804	9,804	2,279	2,280
Non-current liabilities	664,545	600,881	154,499	139,740
Current liabilities	1,301,213	1,397,539	302,516	325,009

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:
- NBP's average exchange rate as at 31 March 2019: 4.3013
- NBP's average exchange rate as at 31 December 2018: 4.3000

4.2. Condensed standalone statement of profit or loss

for the period from 1 January 2019 to 31 March 2019 (PLN 000s)

	01.01.2019-31.03.2019	*01.01.2018-31.03.2018**
A. Net revenues on sales and equivalents	**1,556,956**	**1,267,602**
I. Net revenue on sales of products	3,466	2,475
IV. Net revenue on sales of goods and materials	1,553,490	1,265,127
B. Operating expenses	**1,491,409**	**1,219,671**
I. Depreciation and amortization	25,703	18,904
II. Consumption of materials and energy	23,898	18,892
III. External services	88,164	69,839
IV. Taxes and fees	7,006	5,360
V. Salaries	140,048	106,805
VI. Social security and other benefits	30,784	23,017
VII. Other costs by nature	5,719	4,600
VIII. Cost of goods and materials sold	1,170,087	972,254
C. Sales profit (loss) (A – B)	**65,547**	**47,931**
D. Other operating income	1,105	1,183
E. Other operating expenses	1,717	377
F. Operating profit (loss) (C+D-E)	**64,935**	**48,737**
G. Financial income	1,903	974
H. Financial expenses	12,559	10,780
I. Profit / (loss) before tax (F + G - H)	**54,279**	**38,931**
J. Income tax	10,357	5,366
K. Other mandatory decreases of profit (increases of loss)	-	-
L. Net profit (loss) (I – J – K)	**43,922**	**33,565**

**restated data associated with the business combination*

4.3. Condensed standalone balance sheet

as at 31 March 2019 (PLN 000s)

	31.03.2019	*31.12.2018*	*31.03.2018**
Assets			
A. Non-current assets	**2,162,053**	**2,031,010**	**1,628,596**
I. Intangible assets	26,468	22,868	22,288
II. Property, plant and equipment	1,379,308	1,256,963	851,809
III. Non-current receivables	-	-	-
IV. Non-current investments	727,435	727,435	728,943
V. Non-current prepayments and accruals	28,842	23,744	25,556
B. Current assets	**844,594**	**948,885**	**658,187**
I. Inventories	429,158	428,621	340,807
II. Current receivables	85,239	79,762	54,130
III. Current investments	319,616	438,086	236,145
IV. Current prepayments and accruals	10,581	2,416	27,105
C. Contributions due to share capital	-	-	-
D. Treasury stock	-	-	-
Total assets	**3,006,647**	**2,979,895**	**2,286,783**

	31.03.2019	*31.12.2018*	*31.03.2018**
Equity and liabilities			
A. Equity	**973,892**	**929,970**	**792,189**
I. Share capital	9,804	9,804	9,804
II. Supplementary capital	681,260	681,260	621,345
III. Revaluation reserve (fund)	-	-	-
IV. Other reserve capital	-	-	-
V. Profit (loss) brought forward	208,558	-	101,888
VI. Net profit (loss)	43,922	208,558	33,565
VII. Other items of equity	31,783	31,783	25,587
VIII. Charges to net profit during the financial year (negative figure)	(1,435)	(1,435)	-
B. Liabilities and provisions for liabilities	**2,032,755**	**2,049,925**	**1,494,594**
I. Provisions for liabilities	44,717	29,670	26,348
II. Non-current liabilities	664,545	600,881	522,000
III. Current liabilities	1,301,213	1,397,539	925,313
IV. Accruals and deferred revenue	22,280	21,835	20,933
Total liabilities and equity	**3,006,647**	**2,979,895**	**2,286,783**

**restated data associated with the business combination*

4.4. Condensed standalone statement of cash flows

for the period from 1 January 2019 to 31 March 2019 (PLN 000s)

	01.01.2019-31.03.2019	*01.01.2018-31.03.2018**
A. Cash flow from operating activities		
I. Net profit (loss)	**43,922**	**33,565**
II. Total adjustments	**(64,185)**	**(3,413)**
1. Depreciation and amortization	25,703	18,904
2. Gains (losses) arising from changes in foreign currency exchange rates	-	-
3. Interest and profit sharing (dividends)	9,166	8,071
4. Profit (loss) on investing activity	914	261
5. Movement in provisions	15,047	5,810
6. Movement in inventories	(537)	17,766
7. Movement in receivables	(7,648)	15,926
8. Movement in current liabilities, except for loans and borrowings	(94,012)	(73,798)
9. Movement in prepayments, accruals and deferred revenue	(12,818)	3,647
III. Net cash from operating activities (I±II)	**(20,263)**	**30,152**
B. Cash flow from investing activities		
I. Inflows	**77,832**	**2,802**
1. Sale of intangible assets and property, plant and equipment	276	559
2. Sale of investments in real property and intangible assets	-	-
3. From financial assets, of which:	77,556	2,243
a) in related entities	77,513	2,213
b) in other entities	43	30
- interest	43	30
II. Outflows	**(236,833)**	**(106,067)**
1. Purchase of intangible assets and property, plant and equipment	(162,370)	(99,554)
2. Investments in real property and intangible assets	-	-
3. Towards financial assets, of which:	(74,463)	(6,513)
a) in related entities	(74,463)	(6,513)
III. Net cash flow from investing activities (I-II)	**(159,001)**	**(103,265)**
C. Cash flow from financing activities		
I. Inflows	**144,549**	**83,476**
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions	-	-
2. Loans and borrowings	144,549	83,476
3. Issue of debt securities	-	-
II. Outflows	**(82,019)**	**(36,867)**
1. Purchase of treasury shares	-	-
2. Dividends and other distributions to owners	-	-
3. Profit-sharing expenditures other than distributions to owners	-	-
4. Repayment of loans and borrowings	(59,656)	(15,709)
5. Redemption of debt securities	-	-
6. On account of other financial liabilities	-	-
7. Payment of finance lease liabilities	(10,353)	(10,378)
8. Interest	(10,550)	(9,471)
9. Other financial expenditures	(1,460)	(1,309)
III. Net cash from financing activities (I-II)	**62,530**	**46,609**
D. Total net cash flow (A.III±B.III±C.III)	**(116,734)**	**(26,504)**
E. Balance sheet movement in cash, including	**(116,734)**	**(26,504)**
- movement in cash arising from changes in foreign currency exchange rates	-	-
F. Cash at the beginning of the period	**275,825**	**185,978**
G. Cash at the end of the period (F±D), including	**159,091**	**159,474**
- restricted cash	105	-

**restated data associated with the business combination*

4.5. Condensed standalone statement of changes in equity

for the period from 1 January 2019 to 31 March 2019 (PLN 000s)

	01.01.2019-31.03.2019	*01.01.2018-31.12.2018*	*01.01.2018-31.03.2018**
I. Equity at the beginning of the period (OB)	**929,970**	**658,158**	**658,158**
- effect of the merger with a subsidiary	-	100,466	100,466
I.a. Equity at the beginning of the period (OB), adjusted	**929,970**	**758,624**	**758,624**
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.2. Share capital at the end of the period	**9,804**	**9,804**	**9,804**
2. Supplementary capital at the beginning of the period	681,260	621,345	621,345
2.1. Changes to supplementary capital	-	59,915	-
(i) increase	-	120,704	-
- profit distribution	-	92,504	-
- effect of the merger with a subsidiary - subsidiary's transfer of profit to supplementary capital	-	28,200	-
b) decrease	-	(60,789)	-
- effect of the merger with a subsidiary - subsidiary's payout of an interim dividend from retained earnings and supplementary capital executed prior to the merger	-	(41,973)	-
- effect of the merger with a subsidiary - coverage of retained losses in a subsidiary	-	(18,816)	-
2.2. Balance of supplementary capital at the end of the period	**681,260**	**681,260**	**621,345**
3. Revaluation reserve at the beginning of the period	-	-	-
3.2. Revaluation reserve at the end of the period	-	-	-
4. Other reserve capital at the beginning of the period	-	-	-
4.2. Other reserve capital at the end of the period	-	-	-
5. Profit (loss) brought forward at the beginning of the period	208,558	120,342	120,342
5.1. Profit brought forward at the beginning of the period	208,558	139,158	139,158
5.2. Profit brought forward at the beginning of the period, adjusted	208,558	139,158	139,158
(i) increase	-	-	-
b) decrease	-	(139,158)	-
- distribution of profits brought forward	-	(92,504)	-
- effect of the merger with a subsidiary - subsidiary's transfer of profit to supplementary capital	-	(28,200)	-
- effect of the merger with a subsidiary - subsidiary's retained losses	-	(18,454)	-
5.3. Profit brought forward at the end of the period	208,558	-	139,158
5.4. Loss brought forward at the beginning of the period	-	(18,816)	(18,816)
5.5. Loss brought forward at the beginning of the period, adjusted	-	(18,816)	(18,816)
(i) increase	-	-	-
b) decrease	-	18,816	(18,454)
- effect of the merger with a subsidiary - subsidiary's retained losses	-	18,816	(18,454)
5.6. Losses brought forward at the end of the period	-	-	(37,270)
5.7. Profit (loss) brought forward at the end of the period	**208,558**	**-**	**101,888**
6. Net result	**43,922**	**208,558**	**33,565**
a) net profit	43,922	208,558	33,565
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity at the beginning of the period	31,783	7,133	7,133
7.1 Change in other items of equity	-	24,650	18,454
(i) increase	-	24,650	18,454
- effect of settlement of the merger with a subsidiary	-	24,650	18,454
7. Other items of equity at the end of the period	**31,783**	**31,783**	**25,587**
8. Charges to net profit during the financial year (negative figure)	**(1,435)**	**(1,435)**	**-**
II. Equity at the end of the period (CB)	**973,892**	**929,970**	**792,189**
III. Equity after considering the proposed distribution of profits (coverage of losses)	**973,892**	**929,970**	**792,189**

**restated data associated with the business combination*

5. Notes to the financial statements

5.1. General rules adopted for the preparation of the interim quarterly statements

Consolidated statements

The presented interim (quarterly) condensed consolidated financial statements were prepared in accordance with:

- International Accounting Standard 34 – Interim Financial Reporting and International Financial Reporting Standards (hereinafter "IFRS") published in the Commission Regulation (EC) no. 1725/2003 of 29 September 2003, as amended,
- to the extent not regulated by the above standards – according to the requirements of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister's Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the consolidated financial statements for the year 2018.

These interim (quarterly) condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future, except for Viterna Holdings Ltd., which is currently being liquidated.

The interim (condensed) consolidated financial statements for the period from 1 January 2019 to 31 March 2019 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

Standalone financial statements

The presented interim (quarterly) condensed standalone financial statements were prepared according to the following:

- provisions of the Accounting Act of 29 September 1994 (Journal of Laws of 2016, Item 1047 as amended) and executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister's Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the standalone financial statements for the year 2018.

To ensure the comparability of data, comparative data for the previous financial year were calculated as if the merger of Dino Polska S.A. and Pol-Food Polska sp. o.o. had taken place at the beginning of the previous financial year. The details of this business combination were presented in the 2018 financial statements.

These interim (quarterly) standalone financial statements have been prepared with the assumption that the Company will continue its business as a going concern in the foreseeable future.

The interim (condensed) standalone financial statements for the period from 1 January 2019 to 31 March 2019 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

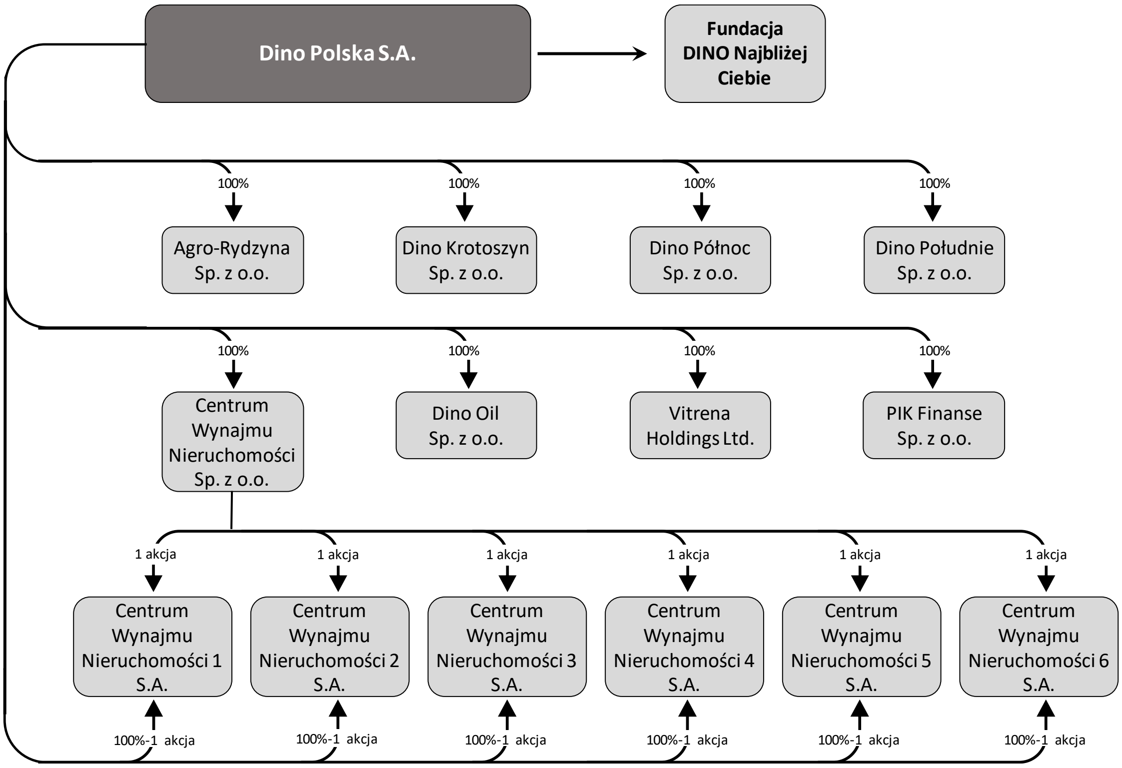
5.2. Group Overview

Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, product range offered in the stores and supports other Subsidiaries (Real

Estate Lease Centers) execution of investment processes related to securing new sites and building new stores. The Company also owns some of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

The Dino Polska Group is run by a three-person Management Board in the following composition: Szymon Piduch, Chief Executive Officer and President of the Management Board, Michał Krauze, Chief Financial Officer and Management Board Member and Jakub Macuga, Chief Operating Officer and Management Board Member. Jakub Macuga was appointed to the Management Board by the Company's Supervisory Board in April 2019.

The chart below depicts the Dino Polska Group's structure



5.3. Seasonality and business cycles

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts heightened revenue in periods close to holidays and in the summer. Moreover, the Dino Group's revenue also depends on the number of store openings, which in the first quarter of the year is as a rule lower than in the other quarters of the year, especially in Q3 and Q4.

5.4. Impact exerted by the IFRS 16 standard

As of 2019, the Dino Polska Group prepares consolidated financial statements in compliance with the new IFRS 16 standard on the measurement and presentation of leases.

The Group has implemented IFRS 16 using the modified retrospective method, which means that the Group does not restate data from previous periods. To facilitate data comparability information is presented below on the impact exerted by the application of the IFRS 16 standard on the results of Q1 2019.

- impact on EBITDA: increase by PLN 2,976.5 thousand (as a result of lower lease expenses in external services)

- depreciation and amortization: increase by PLN 2,555.6 thousand
- impact on operating profit: increase by PLN 420.8 thousand (as a result of lower lease expenses in external services and higher depreciation and amortization)
- financial expenses: increase by PLN 643.9 thousand
- profit before tax: decrease by PLN 223.1 thousand
- non-current lease liabilities: increase by PLN 51,293 thousand
- current lease liabilities: increase by PLN 9,640 thousand

5.5. Other information

Non-recurring amounts and events

No atypical events transpired in the Dino Group's business in the period from 1 January 2019 to 31 March 2019.

Impairment losses

In the period covered by this report, the Group did not recognize any impairment losses for inventories.

Consolidated financial data
for the period from 1 January 2019 to 31 March 2019

(PLN 000s)	31.03.2019	Change	31.12.2018
Impairment losses on receivables	274	(18)	292

Unconsolidated financial data
for the period from 1 January 2019 to 31 March 2019

(PLN 000s)	31.03.2019	Change	31.12.2018
Impairment losses on receivables	208	(16)	224

Information on the recognition, increase, use and reversal of provisions

Consolidated financial data
for the period from 1 January 2019 to 31 March 2019

(PLN 000s)	31.03.2019	Change	31.12.2018
Deferred tax liability	15,612	9,689	5,923
Provision for pension and similar benefits	2,091	-	2,091
	17,703	**9,689**	**8,014**

Unconsolidated financial data
for the period from 1 January 2019 to 31 March 2019

(PLN 000s)	31.03.2019	Change	31.12.2018
Deferred tax liability	42,840	15,047	27,793
Provision for pension and similar benefits	1,877	-	1,877
	44,717	**15,047**	**29,670**

Information on deferred tax liabilities and assets

Consolidated financial data
for the period from 1 January 2019 to 31 March 2019

(PLN 000s)	31.03.2019	change	31.12.2018
Deferred tax liability	15,612	9,689	5,923
Deferred tax asset	16,638	331	16,307

Unconsolidated financial data
for the period from 1 January 2019 to 31 March 2019

(PLN 000s)	31.03.2019	change	31.12.2018
Deferred tax liability	42,840	15,047	27,793
Deferred tax asset	28,842	5,098	23,744

Material purchase and sale transactions of property, plant and equipment

In the presented period, purchases related to the further expansion of the Dino Group store network and expansion of warehouse space as well as the purchases related to store and warehouse fit-outs constituted major transactions involving the purchase of property, plant and equipment. In the period from 1 January to 31 March 2019 they totaled approximately PLN 199 million, including fixed assets under construction (PLN 113 million in 2018).

Material obligations on account of property, plant and equipment purchases

As at the date of the financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of construction services related to the ongoing rollout of the Dino Polska Group's store network. They totaled PLN 126,112 thousand. At the end of Q1 2018, investment liabilities were PLN 49,885 thousand.

Material litigation-related settlements

No material litigation appeared in the period from 1 January 2019 to 31 March 2019.

Correction of errors of previous periods

To ensure comparative data a correction of an error was made in respect of the recognition of revenue and costs related to transactions involving press and mobile telephone top-ups as discussed in the 2018 financial statements. Accordingly, revenue and costs in Q1 2018 were reduced by PLN 14,276 thousand.

Changes in the economic situation and business conditions with material effect on the fair value of financial assets and financial liabilities

The changes in the economic situation and business conditions had no material effect on the fair value of the Group's financial assets and financial liabilities.

Information on default on a loan or borrowing or breach of material provisions of loan or borrowing agreements

No occurrences covered by this item occurred in the reporting period.

Information on related party transactions

Related party transactions were routine in nature and concluded on the arm's length basis, at prices no different from the prices used in transactions between unrelated parties. Intra-Group transactions were eliminated in the consolidation process.

Information on changes in the fair value measurement methodology for financial instruments measured at fair value and changes in the classification of financial instruments

In this reporting period, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Information on the issue, redemption and repayment of non-equity and equity securities

No events referred to in this header occurred in the reporting period.

Information on dividend paid (or declared), in total and per share, for common and preference shares

During the reporting period, the Parent Company did not pay out any dividend.

Events taking place after the date of the quarterly condensed financial statements, which were not included in the statements but may materially affect the issuer's future financial results

By the date of these financial statements, no events occurred that may materially affect the Group's future financial results.

Information on changes in contingent liabilities or contingent assets that have taken place since the end of the previous financial year

No change in contingent assets was recorded in the reporting period. At the end of the reporting period, the Group had contingent liabilities arising from concluded preliminary agreements for PLN 377 million.

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No events occurred in the reporting period that could materially affect the assessment of the Group's assets, financial position and financial result.

6. OTHER INFORMATION

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company’s Management Board did not publish any forecasts for 2019.

Proceedings pending before courts or other competent bodies for the relevant proceedings

No major litigation appeared in the reporting period.

Information on related party transactions

No transactions covered by this item were concluded in the reporting period. Both the Parent Company and its subsidiaries enter into transactions on the arm’s length basis.

Sureties, loans, borrowings or guarantees extended by the issuer or its subsidiary

No events referred to in this header occurred in the reporting period.

Other information

On 11 February 2019 two investment loan agreements were executed (“Loans”): i) between the Company and Powszechna Kasa Oszczędności Bank Polski Spółka Akcyjna with its registered office in Warsaw, ul. Puławska 15 (“PKO BP SA”) for an amount of PLN 80 million and ii) between Dino Południe Sp. z o.o., a Company subsidiary and PKO BP SA for an amount of PLN 70 million (“Agreements”). The total value of the Loans is PLN 150 million. These Agreements have been signed to finance the ongoing network rollout of stores run by the Company under the Dino brand and its logistical base. The loans were extended in the Polish currency for a period from 11 February 2019 to 11 August 2026. The interest on the Loans will be set using a floating interest rate equal to the WIBOR 1M reference rate plus PKO BP SA’s margin. The collateral for the Loans is as follows: i) contractual mortgages up to PLN 225 million on real estate owned by the Company and Dino Południe Sp. z o.o., developed with the Company’s stores and warehouses; ii) blank promissory notes issued by the borrowers along with promissory note declarations; iii) transfer of cash accounts receivable from insurance agreements for the real estate forming the collateral; and iv) in respect of the agreement signed by Dino Południe Sp. z o.o., a surety under civil law issued by the Company.

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Szymon Piduch – President of the Management Board …………………………….

Michał Krauze – Management Board Member ………………………………………

Jakub Macuga – Management Board Member ………………………………………

Krotoszyn, 9 May 2019